

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 817

BY HEALTH AND WELFARE COMMITTEE

AN ACT

RELATING TO TOBACCO PRODUCTS; AMENDING SECTION 39-5702, IDAHO CODE, TO DEFINE TERMS; AMENDING SECTION 39-5704, IDAHO CODE, TO REVISE PROVISIONS REGARDING PERMITTING OF TOBACCO PRODUCTS OR ELECTRONIC SMOKING DEVICES RETAILERS; AMENDING SECTION 39-5706, IDAHO CODE, TO REVISE PROVISIONS REGARDING VENDOR-ASSISTED SALES; AMENDING SECTION 39-5707, IDAHO CODE, TO REVISE PROVISIONS REGARDING OPENED PACKAGES AND SAMPLES; AMENDING SECTION 39-5717, IDAHO CODE, TO PROVIDE CORRECT CODE REFERENCES; AMENDING SECTION 39-8421, IDAHO CODE, TO PROVIDE A CORRECT CODE REFERENCE; AMENDING SECTION 56-227F, IDAHO CODE, TO PROVIDE A CORRECT CODE REFERENCE; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 39-5702, Idaho Code, be, and the same is hereby amended to read as follows:

39-5702. DEFINITIONS. The terms used in this chapter are defined as follows:

(1) "Business" means any company, partnership, firm, sole proprietorship, association, corporation, organization, or other legal entity, or a representative of the foregoing entities.

(2) "Cigar-related products" means products intended for use with cigars, including but not limited to humidors, cutters, lighters, and natural tobacco leaves or wraps used for the manual rolling of cigars.

~~(2)~~ (3) "Delivery sale" means to distribute tobacco products or electronic smoking devices to a consumer in a state where either:

(a) The individual submits the order for such sale by means of a telephonic or other method of voice transmission, data transfer via computer networks, including the internet and other online services, or facsimile, or the mails; or

(b) The tobacco products or electronic smoking devices are delivered by use of the mails or a delivery service.

~~(3)~~ (4) "Delivery service" means any person who is engaged in the commercial delivery of letters, packages or other containers.

~~(4)~~ (5) "Department" means the state department of health and welfare or its duly authorized representative.

(6) "Designated cigar garden" means a temporary, outdoor, physically enclosed, or roped-off area at a public or private event that is strictly restricted to persons twenty-one (21) years of age or older.

~~(5)~~ (7) "Distribute" means to give, deliver, sell, offer to give, offer to deliver, offer to sell or cause any person to do the same or hire any person to do the same.

~~(6)~~ (8) "Location" means the street address where tobacco or electronic smoking device products are sold or the uniform resource locator for retail-

ers who sell tobacco or electronic smoking products exclusively via the internet.

~~(7)~~ (9) "Minor" means a person under twenty-one (21) years of age.

~~(8)~~ (10) "Minor-exempt permit" means a permittee location whose revenues from the sale of alcoholic beverages for on-site consumption comprises at least fifty-five percent (55%) of total revenues, or whose products and services are primarily obscene, pornographic, profane, or sexually oriented, is exempt from inspections assisted by a minor, if minors are not allowed in the location and such prohibition is posted clearly on all entrance doors.

(11) "Mobile cigar retailer" means a business permitted under this chapter that exclusively sells or distributes cigars and cigar-related products from a non-fixed, mobile unit, including but not limited to a motor vehicle or trailer.

~~(9)~~ (12) "Permit" means a permit issued by the department for the sale or distribution of tobacco products or electronic smoking devices.

~~(10)~~ (13) "Permit endorsement" means a sale or delivery method used by the permittee to sell tobacco or electronic smoking device products, including delivery sales, delivery service, and direct sales.

~~(11)~~ (14) "Permittee" means the holder of a valid permit for the sale or distribution of tobacco products or electronic smoking devices.

~~(12)~~ (15) "Photographic identification" means state, district, territorial, possession, provincial, national or other equivalent government driver's license, identification card or military card, in all cases bearing a photograph and a date of birth, or a valid passport.

~~(13)~~ (16) "Random, unannounced inspection" means an inspection of retail outlets by a law enforcement agency or by the department, with or without the assistance of a minor, to monitor compliance of this chapter.

~~(14)~~ (17) "Seller" means the person who physically sells or distributes tobacco products or electronic smoking devices.

~~(15)~~ (a) (18) (a) "Tobacco product or electronic smoking device" means:

(i) Any substance containing, made of, or derived from tobacco or nicotine that is intended for human consumption or is likely to be consumed, whether inhaled, absorbed, or ingested by any other means, including but not limited to cigarettes, cigars, pipes, snuff, smoking or chewing tobacco, snus, tobacco papers, or smokeless tobacco;

(ii) Any electronic smoking device that may be used to deliver an aerosolized or a vaporized substance to the person inhaling from the device, including but not limited to an electronic cigarette, an electronic cigar, an electronic pipe, a vape pen, or an electronic hookah, or any component, part, or accessory of such a device, or any substance intended to be aerosolized or vaporized during use of the device, whether or not the substance contains nicotine, or any heated or lighted device intended to be used for inhalation; or

(iii) Any components, parts, or accessories of a tobacco product or an electronic smoking device, whether or not they contain tobacco or nicotine, including but not limited to filters, rolling papers, blunt or hemp wraps, and pipes, whether manufactured,

distributed, marketed, or sold as an electronic cigarette, electronic cigar, electronic hookah, or vape pen, or under any other product name or descriptor.

(b) The term "tobacco product or electronic smoking device" does not include drugs, devices, or combinations of products authorized for sale by the United States food and drug administration as those terms are defined in the federal food, drug, and cosmetic act.

~~(16)~~ (19) "Vending machine" means any mechanical, electronic, or other similar device that, upon the insertion of tokens, money or any other form of payment, dispenses tobacco products or electronic smoking devices.

~~(17)~~ (20) "Vendor-assisted sales" means any sale or distribution in which the customer has no access to the product except through the assistance of the seller.

~~(18)~~ (21) "Without a permit" means a business that has failed to obtain a permit or a business whose permit is suspended or revoked.

SECTION 2. That Section 39-5704, Idaho Code, be, and the same is hereby amended to read as follows:

39-5704. PERMITTING OF TOBACCO PRODUCTS OR ELECTRONIC SMOKING DEVICES RETAILERS. (1) It shall be unlawful to sell or distribute or offer tobacco products or electronic smoking devices for sale or distribution at retail or to possess tobacco products or electronic smoking devices with the intention of selling at retail without having first obtained a tobacco product or electronic smoking device permit from the department, which shall be the only retail tobacco product or electronic smoking device permit or license required. Provided however, this section shall not be deemed to require a wholesaler or manufacturer's representative or employees who, in the course of their employment, stock shelves and replenish tobacco products or electronic smoking devices at a permittee's place of business to obtain a permit.

(2) The department shall administer the permitting of tobacco product or electronic smoking device retailers and shall be authorized to ensure compliance with this chapter.

(3) (a) Permits shall be issued annually for each permanent business location to ensure compliance with the requirements of this chapter. A copy of signage required by this chapter, and any other materials deemed necessary shall be provided with each permit issued.

(b) Permits for each mobile cigar retailer shall be issued annually to a specific mobile unit identified by a vehicle identification number or other unique serial number. A single permit shall authorize the retailer to operate at various temporary locations throughout the state.

(4) A separate permit must be obtained for each place of business or mobile unit and is nontransferable to another person, business, or location.

(5) The applicant shall select one (1) or more permit endorsements and make the permit available upon request.

(6) A permittee may display a sign in each location within a place of business where tobacco products or electronic smoking devices are sold or distributed. A sign may be clearly visible to the customer and the seller and shall state: "STATE LAW PROHIBITS THE SALE OF TOBACCO PRODUCTS OR ELECTRONIC SMOKING DEVICES TO PERSONS UNDER THE AGE OF TWENTY-ONE (21) YEARS. PROOF OF AGE REQUIRED. ANYONE WHO SELLS OR DISTRIBUTES TOBACCO PRODUCTS OR ELECTRONIC

1 SMOKING DEVICES TO A PERSON UNDER THE AGE OF TWENTY-ONE (21) YEARS IS SUBJECT
 2 TO STRICT FINES AND PENALTIES. PERSONS UNDER THE AGE OF TWENTY-ONE (21) YEARS
 3 ARE SUBJECT TO FINES AND PENALTIES."

4 (a) For a mobile cigar retailer, the sign described in this subsection
 5 and required permit shall be permanently affixed to the interior or ex-
 6 terior of the mobile unit in a location readily visible to patrons.

7 (b) When performing on-site cigar rolling services or operating a
 8 designated cigar garden at various temporary locations, the permittee
 9 shall display temporary signage at the specific point of distribution
 10 or entry. Such signage shall be clearly visible to both the customer and
 11 the seller and include the language provided in this subsection.

12 (7) Permittees are responsible to educate employees as to the require-
 13 ments of this chapter and retain forms signed by each employee stating that
 14 the employee understands such requirements.

15 (8) It shall be unlawful for the permittee to allow employees who are
 16 minors to sell or distribute tobacco products or electronic smoking devices,
 17 except as provided in this subsection. Employees who are minors may possess
 18 but not sell or distribute tobacco products or electronic smoking devices
 19 in the course of employment, for such duties as stocking shelves or carrying
 20 purchases to customers' vehicles, and employees who are eighteen (18) years
 21 to twenty (20) years of age may sell or distribute tobacco products or elec-
 22 tronic smoking devices in the course and scope of their employment.

23 (9) A permit shall be closed when the permittee closes the business, no
 24 longer sells tobacco or electronic smoking device products, moves to a dif-
 25 ferent physical location, or sells the business.

26 (10) A permit shall be revoked when it is determined that a permit was
 27 fraudulently obtained to avoid penalties on an existing permit.

28 (11) All permits expire annually at midnight on December 31 unless re-
 29 newed. The department shall mail notice of renewal for permits at least
 30 ninety (90) days prior to expiration.

31 SECTION 3. That Section 39-5706, Idaho Code, be, and the same is hereby
 32 amended to read as follows:

33 39-5706. VENDOR-ASSISTED SALES. (1) It shall be unlawful to sell or
 34 distribute tobacco products or electronic smoking devices by any means other
 35 than vendor-assisted sales where the customer has no access to the product
 36 except through the assistance of the seller.

37 (2) It shall be unlawful to sell or distribute tobacco products or elec-
 38 tronic smoking devices from vending machines or self-service displays.

39 (3) Stores with tobacco products or electronic smoking devices com-
 40 prising at least seventy-five percent (75%) of total merchandise are exempt
 41 from requiring vendor-assisted sales if minors are not allowed in the store
 42 and such prohibition is posted clearly on all entrance doors.

43 (4) This section shall not apply to a permitted mobile cigar retailer
 44 or designated cigar garden provided that the mobile unit or designated cigar
 45 garden is strictly restricted to persons twenty-one (21) years of age or
 46 older and is under the continuous supervision of the permittee or the permit-
 47 tee's employee.

1 SECTION 4. That Section 39-5707, Idaho Code, be, and the same is hereby
2 amended to read as follows:

3 39-5707. OPENED PACKAGES AND SAMPLES. (1) It shall be unlawful to sell
4 or distribute tobacco products or electronic smoking devices for commercial
5 purposes other than in the federally required sealed package provided by the
6 manufacturer with all the required warning labels and health warnings.

7 (2) It shall be unlawful to sell or distribute tobacco products or elec-
8 tronic smoking devices for free or below the cost of such products to the
9 sellers or distributors of the products for commercial or promotional pur-
10 poses to members of the general public in public places or at public events.

11 (3) The requirements for original sealed manufacturer packaging and
12 the prohibition against free distribution shall not apply to a mobile cigar
13 retailer providing on-site cigar rolling or experiential services at a pri-
14 rate or public event restricted to persons of twenty-one (21) years of age or
15 older, provided that:

16 (a) The products distributed consist only of cigars or natural tobacco
17 leaves for on-site rolling; and

18 (b) The host of a private event has purchased the products at full re-
19 tail price for distribution to guests or the consumer has purchased the
20 product directly.

21 SECTION 5. That Section 39-5717, Idaho Code, be, and the same is hereby
22 amended to read as follows:

23 39-5717. SHIPPING REQUIREMENTS -- TOBACCO PRODUCTS OR ELECTRONIC
24 SMOKING DEVICES. Each permittee who mails or ships tobacco products or
25 electronic smoking devices in connection with a delivery sale order shall
26 include as part of the shipping documents a clear and conspicuous statement
27 providing as follows:

28 TOBACCO PRODUCTS OR ELECTRONIC SMOKING DEVICES: IDAHO LAW PRO-
29 HIBITS SHIPPING TO INDIVIDUALS UNDER THE AGE OF TWENTY-ONE (21)
30 YEARS AND REQUIRES THE PAYMENT OF TAXES PURSUANT TO CHAPTER 25, TI-
31 TLE 63, IDAHO CODE. PERSONS VIOLATING THIS LAW MAY BE CIVILLY AND
32 CRIMINALLY LIABLE.

33 Anyone who delivers any such container distributes tobacco products or
34 electronic smoking devices as defined in section 39-5702~~(5)~~, Idaho Code, and
35 is subject to the terms and requirements of this chapter. If a permittee tak-
36 ing a delivery sale order also delivers the tobacco products or electronic
37 smoking devices without using a third-party delivery service, the permittee
38 shall comply with all the requirements of vendor-assisted sales as defined
39 in section 39-5702~~(17)~~, Idaho Code.

40 SECTION 6. That Section 39-8421, Idaho Code, be, and the same is hereby
41 amended to read as follows:

42 39-8421. DEFINITIONS. As used in sections 39-8420 through 39-8425,
43 Idaho Code:

44 (1) The definitions set forth in section 39-8402, Idaho Code, of the
45 Idaho tobacco master settlement agreement complementary act, and in this
46 section, apply to sections 39-8420 through 39-8425, Idaho Code.

1 (2) "Cigarette rolling machine" means any machine or device that has
 2 the capability to produce at least one hundred fifty (150) cigarettes in less
 3 than thirty (30) minutes.

4 (3) "Cigarette rolling machine operator" means any person who owns or
 5 leases or otherwise has available for use a cigarette rolling machine and
 6 makes such a machine available for use by another person in a commercial
 7 setting in order to manufacture a cigarette. No person shall be deemed a
 8 cigarette rolling machine operator based solely upon that person's manufac-
 9 ture, sale, enabling, disabling, or repair of a cigarette rolling machine.

10 (4) "Minor" has the same meaning as that term is defined in section
 11 39-5702~~(7)~~, Idaho Code.

12 (5) "Person" means natural persons, corporations both foreign and do-
 13 mestic, trusts, partnerships both limited and general, incorporated or un-
 14 incorporated associations, companies, business entities, and any other le-
 15 gal entity, or any other group associated in fact although not a legal en-
 16 tity.

17 (6) "Tobacco products" means any substance that contains tobacco,
 18 including but not limited to cigarettes, cigars, pipes, snuff, smoking to-
 19 bacco, tobacco papers, or smokeless tobacco.

20 SECTION 7. That Section 56-227F, Idaho Code, be, and the same is hereby
 21 amended to read as follows:

22 56-227F. PUBLIC ASSISTANCE BENEFIT CARDS -- PROHIBITED USES. (1) Any
 23 recipient of public assistance is prohibited from using public assistance
 24 benefit cards or cash obtained with public assistance benefit cards:

25 (a) For the purpose of participating in any of the activities described
 26 under chapters 38 and 49, title 18, Idaho Code, or authorized pursuant
 27 to any state-tribal gaming compact under section 67-429A, Idaho Code;

28 (b) For the purpose of pari-mutuel betting authorized under chapter 25,
 29 title 54, Idaho Code;

30 (c) To purchase lottery tickets or shares authorized under chapter 74,
 31 title 67, Idaho Code;

32 (d) For the purpose of participating in or purchasing tattoo, branding
 33 or body piercing services as defined in section 18-1523, Idaho Code;

34 (e) To purchase cigarettes as defined in section 39-7802(d), Idaho
 35 Code, or tobacco products or electronic smoking devices as defined in
 36 section 39-5702~~(15)~~, Idaho Code;

37 (f) To purchase any items regulated under title 23, Idaho Code;

38 (g) For the purpose of adult entertainment at venues with performances
 39 that contain sexually oriented material where minors under the age of
 40 eighteen (18) years are prohibited; or

41 (h) For the purpose of purchasing or participating in any activities in
 42 any location listed in subsection (2) of this section.

43 (2) The following businesses are required to comply with the provisions
 44 of this section:

45 (a) Any establishment or business licensed under chapter 9, title 23,
 46 Idaho Code;

47 (b) State liquor stores defined under section 23-902, Idaho Code, with
 48 the exception of special distributors as referenced in chapter 3, title
 49 23, Idaho Code;

1 (c) Any business or agency that issues or underwrites bail bonds as de-
2 fined in section 41-1038(3), Idaho Code;

3 (d) Gambling establishments licensed under Idaho law;

4 (e) Any business or establishment that offers tattoo, body piercing or
5 branding services as defined in section 18-1523, Idaho Code;

6 (f) Adult entertainment venues with performances that contain sexually
7 oriented material where minors under the age of eighteen (18) years are
8 prohibited; and

9 (g) Any establishment where persons under the age of eighteen (18)
10 years are not permitted.

11 (3) The department shall notify any business determined to be in viola-
12 tion of the provisions of subsection (2) of this section and the licensing
13 authority of any such business, if applicable, that such business has con-
14 tinued to allow the use of a public assistance benefit card in violation of
15 subsection (2) of this section. The department may require the Idaho quest
16 electronic benefits transfer (EBT) card business identification number
17 (BIN) be disabled at any business found to be in violation of subsection (2)
18 of this section. Any business in violation of subsection (2) of this section
19 may also be required to deny all public assistance cash transactions made
20 with an Idaho quest EBT card at any automated teller machine (ATM) located
21 in their establishment. All costs associated with disabling the BIN and ATM
22 will be the responsibility of such business owner.

23 (4) Only the recipient, an eligible member of the recipient's house-
24 hold or the recipient's authorized representative may use a public assis-
25 tance benefit card or the benefit, and such use shall only be for the re-
26 spective benefit program purposes. The recipient shall not sell, attempt to
27 sell, exchange or donate a public assistance benefit card or any benefits to
28 any other person or entity.

29 (5) A violation of subsection (1) or (4) of this section by a recipient
30 constitutes a misdemeanor.

31 (a) The department shall notify all recipients of public assistance
32 benefit cards that any violation of subsection (1) or (4) of this sec-
33 tion could result in legal proceedings and forfeiture of all cash public
34 assistance.

35 (b) Whenever the department has confirmed that a person has violated
36 subsection (1) or (4) of this section, the department shall notify the
37 person in writing that the violation could result in legal proceedings
38 and forfeiture of all cash public assistance.

39 (6) As used in this section, "public assistance" or "public assistance
40 benefit" means benefits provided to a recipient pursuant to the temporary
41 assistance for families in Idaho (TAFI) program on an Idaho quest EBT card
42 account.

43 (7) This section shall be enforced by the director of the department of
44 health and welfare in cooperation with local law enforcement and prosecuting
45 agencies.

46 SECTION 8. An emergency existing therefor, which emergency is hereby
47 declared to exist, this act shall be in full force and effect on and after
48 July 1, 2026.